FROM THE
EDITOR-IN-CHIEF

India responds best when in a crisis. Historically, that's when it has initiated big reforms. The economic reforms of 1991, which dismantled the licence raj and ended an era of sluggish growth, were triggered by a balance of payments crisis. Now, geopolitical turmoil as well as US president Donald Trump's onslaught on the old international trading order with weaponised tariffs have pushed the world into a reset. For India, it brings a second 1991 moment. We are calling it 'The Great Opening Up', a policy turn that picks up the unfinished business of liberalisation. Even after three decades of reforms, the ghosts of protectionism haunt our political economy. Till the last decade, our reflex instinct toward free trade remained hesitant, even defensive. Whenever the chance to enter large trade blocs came, we recoiled. In 2019, India withdrew at the last minute from the Regional Comprehensive Economic Partnership; we didn't even pursue the Trans-Pacific Partnership. The watchword was caution, bordering on avoidance. The post-pandemic convulsions in world trade have forced us to evolve. High tariff walls, a relic of the pre-1991 days of import substitution, are finally being dismantled through a series of trade agreements.

The headline events are expansive deals with the US and the European Union (EU). The American agreement ends a year of tariff turbulence that had seen duties surge sharply. These come down from 50 to 18 per cent. There's one key clause: no Russian oil. In the "mother of all deals" with the EU, tariffs go to zero nearly wholesale. Together, they open up two markets with a combined GDP of over $50 trillion. Before that came Australia, the UAE, Oman, the UK, New Zealand. In the works are deals with Canada, the Gulf bloc and Latin America's Mercosur. Already covering 40-plus developed economies, this marks a strategic pivot for India, whose current share of global trade is a woeful 2.5 per cent.



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The passage is not devoid of legitimate points of contention. But what the Narendra Modi government is attempting is a reinvention of *swadeshi*. Self-reliance, evoked in the slogan 'Make in India', is being turned from a self-limiting obsession to one that can galvanise our productive capacity: a call to 'Make for the World'. The logic is compelling. From post-war Germany to Japan, the 'Asian tigers' to China, an export-led industrial policy is what brought prosperity. India has been a laggard here: merchandise exports, at $438 billion, are only 10-14 per cent of the GDP. That's a critical growth engine not firing. Integrating more deeply into global supply chains could invigorate manufacturing through competition, raise standards to global levels, create jobs and bring better goods for consumers.

Importantly, the approach is calibrated. Care has been taken to ensure it's a spur, not a shock. Take the bellwether auto sector. High-end imports, now tariff-free, occupy only a sliver of our market. But India's $23 billion auto components exports get a leg-up, inviting small players to climb the value chain. In agriculture, we have only inched open the door. Staples have been kept out. As commerce minister Piyush Goyal tells INDIA TODAY, "Switzerland, the EU, New Zealand have never done a free trade deal without dairy. We are the first." Again, there's plenty space for niche products: think Kentucky bourbon and California almonds to go with it. On the outbound side, coastal seafood hubs will be humming again; spices, tea and coffee regain their aroma. But some products are laden with risk. Soybean oil imports sit uneasily with the Oilseeds Mission, besides being too GM-adjacent for comfort; distillers' grains, red sorghum and apples could hit local farmers.

Elsewhere, free trade arrives as a growth catalyst, for both labour-intensive and high-tech sectors. In textiles, exports to the EU are primed for a five-fold jump by 2030: imagine a year-on-year 20 per cent rise in targets flowing through our garments hubs. At another end of the factory yard, the deals are vitamin for a keystone sector: engineering goods exports could treble to $300 billion by 2030. Similarly, Indian pharmaceuticals get preferential access to two of the world's most valuable drug markets. Indian patients gain cheaper access to high-end medicines.

A special factor is the West's China plus one strategy. It benefits electronics, critical technologies and high-end semiconductors and could revolutionise the local AI and data centre ecosystem. It's the smartest way to make future-ready India's strongest export: services. The word is curiously absent, though, in the US deal. If we are sacrificing cheaper Russian oil, even compromising our strategic autonomy, reciprocity would have demanded at least an easing of visa rules. Especially since the White House wants a $500 bn import bill commitment from us.

Opening up markets also exposes vulnerabilities. FTAs don't guarantee competitiveness. Two preconditions remain. First is research and development. With R&D spend a meagre 0.6 per cent of GDP, we risk becoming assemblers, not innovators, despite possessing the brainpower. Second is deregulation. Liberalisation must be matched by genuine ease of doing business. Crisis has forced clarity. India has chosen engagement over retreat. Whether the Great Opening Up becomes a fundamental shift or merely an incremental adjustment will depend on the accompanying reform. In 1991, necessity triggered transformation. Today, opportunity demands it. We must grasp it wholeheartedly.

(Aroon Purie)